REPORTABLE

IN THE SUPREME COURT OF INDIA
CRIMINAL APPELLATE JURISDICTION

CRIMINAL APPEAL NO. 1421 OF 2022
(Arising out of SLP (Crl.) No. 2933 of 2022)

DEVRAJ MOHANTY ...APPELLANT(S)

VERSUS

SUNDARAM PLASTOMERS LTD. ...RESPONDENT(S)

J U D G M E N T

TARUN V. KHANDPUR, J.

1. Leave granted.

2. This appeal concerns the first proviso to Section 148 of the Negotiable Instruments Act, 1881 ("NI Act"), which was introduced by the Negotiable Instruments (Amendment) Act, 2018. The appellant was convicted under Section 138 of the NI Act and sentenced to simple imprisonment with a direction to pay compensation of Rs.15,00,000/-. The appellate Court suspended the sentence without directing any deposit, and the High Court set aside that order and directed the appellant to deposit twenty per cent of the compensation.

3. The question is whether the appellate Court's power under the proviso to Section 148 of the NI Act to direct deposit of a minimum of twenty per cent of the fine or compensation is mandatory or discretionary.

4. The proviso to Section 148 states that the appellate Court "may" order the appellant to deposit a sum which shall be a minimum of twenty per cent of the fine or compensation awarded by the trial Court. The object of the amendment, as is evident from the Statement of Objects and Reasons, is to prevent the drawer from using the appellate process as a means of delay and to protect the payee, who has already established the offence at trial.

5. In the context of an appeal against conviction, the word "may" in the first proviso to Section 148 of the Negotiable Instruments Act, 1881 must ordinarily be read as "shall", and the appellate Court should direct the deposit of the minimum of twenty per cent, which may be dispensed with only for special reasons recorded in writing.

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6. We should not be understood as expressing any view on the interim compensation provision of Section 143A of the NI Act, which operates at the pre-trial stage and is not before us.

7. The appeal is dismissed. The appellant shall deposit the amount within six weeks.

.....J.
[RAGHAVENDRA N. SESHADRI]

.....J.
[TARUN V. KHANDPUR]

NEW DELHI;
AUGUST 23, 2022.

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